

Procure Space ETF

SPCX NASDAQ

Hold	\$112.50 ▲ 3.91%	12M Price Target \$130.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.43T
------	------------------	------------------------------	--------------------------------------	-----------------------

SPCX: SpaceX Lockup Expiry Whipsaws Space ETF

WHAT HAPPENED

- SPCX is bouncing +3.9% after yesterday's ugly -14% drop — that dive lined up perfectly with the SpaceX private-share lockup expiring (a "lockup" is when early investors are finally allowed to sell shares they've been holding). SpaceX is the biggest name in this ETF, so when insiders got the green light to dump, the whole basket got pulled down with it.
- Today's bounce looks more like a reflex rally than a real all-clear. The stock is sitting at just 6% of its 52-week range — meaning it's trading almost at the yearly low, which tells you the damage from AI capex fears (Big Tech spending on AI instead of space) and the SpaceX overhang is still very real.

WHY IT MATTERS

Here's the read: the ETF got mechanically punished, not fundamentally punished. When SpaceX shares get unlocked and holders sell, the ETF has to mark down its stake — but the actual space economy (launches, satellites, defense contracts) is still humming. That means today's bounce may have legs IF the SpaceX selling pressure exhausts itself in the next 1-2 weeks. Watch for: does volume stay elevated (bad — means more forced selling coming) or dry up (good — sellers done). The bigger picture — small caps quietly outperforming the S&P this year — actually helps SPCX because most of its non-SpaceX holdings are smaller space names that benefit from that rotation.

POLICY & POLITICAL WATCH

The single biggest policy tailwind is the "Golden Dome" missile defense initiative — the Trump administration's space-based missile shield that's driving billions into satellite constellations, space-based sensors, and launch capacity. That's a direct pipeline for names like Rocket Lab, Iridium, and L3Harris that sit inside SPCX. Also watch the FY2027 defense authorization moving through Congress — early markups have space allocations up double-digits, and any tariff escalation on China actually helps because it forces the Pentagon to source more space hardware domestically from SPCX's holdings.

IS IT EXPENSIVE?

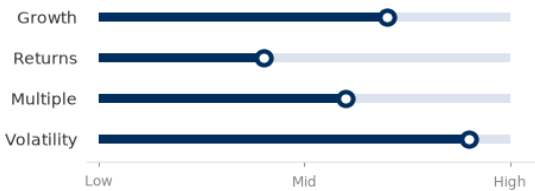
As an ETF, SPCX doesn't have traditional earnings — you're paying for a basket of space companies, many of which are still burning cash. The fund trades roughly in line with its net asset value, but the underlying holdings are pricey — investors are paying growth multiples (high price for future promises, not current profits) on names like Rocket Lab and AST SpaceMobile. Fair, not cheap — the government contract flow needs to keep converting to justify current levels.

WHAT COULD GO WRONG

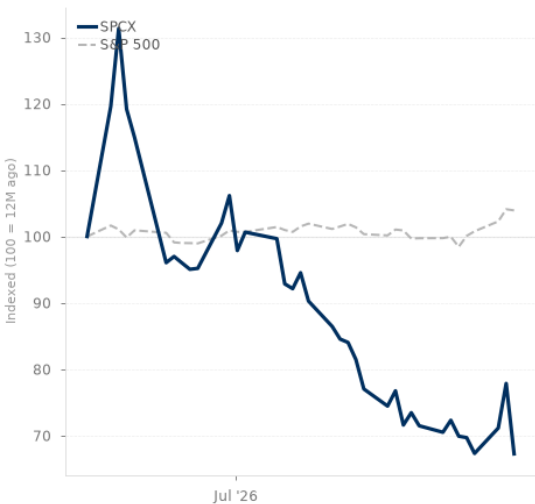
Key Data

Price (USD)	\$112.50
12M Price Target	\$130.00
Upside / (Downside)	+15.6%
Market Cap	\$1.43T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$130.00	\$115.00	\$98.00
6 Months	\$155.00	\$128.00	\$95.00
1 Year	\$180.00	\$140.00	\$90.00
2 Years	\$220.00	\$165.00	\$85.00
5 Years	\$320.00	\$220.00	\$110.00
10 Years	\$500.00	\$340.00	\$140.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+1.27%) and Materials (+1.23%) leading today — defensive rotation plus commodity strength suggests investors are hedging against tech weakness. Consumer Discretionary strong on 5-day (+6.3%) tells you the consumer isn't dead yet.

COOLING OFF: Real Estate (-1.65% on 5-day) getting hit as rate-cut expectations get pushed out. Industrials flat today after a strong week — some profit-taking.

ROTATION WATCH: Money is quietly moving from mega-cap tech into small caps and defensives — that's a mixed signal for SPCX because small-cap space names benefit, but the SpaceX weighting drags on the AI-adjacent selloff.

RELATED PLAY: If you like the space theme but want less SpaceX exposure, ITA (defense ETF) captures the Golden Dome tailwind without the private-market lockup drama. Rocket Lab (RKLB) individually is the purest launch-cadence play.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning the mid-size launch race as SpaceX faces distraction — every Starship delay is a Neutron opportunity.
- LHX (L3Harris): Defense prime with heavy space-systems exposure, direct Golden Dome beneficiary.

SPCX CONTEXT: SPCX is lagging pure defense plays right now because SpaceX is dragging it down — but if you believe the space economy is bigger than one company, this ETF gives you diversified exposure at a discount to where it traded 6 months ago.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously constructive. The long-term space thesis is intact, but I want to see the SpaceX lockup selling burn out before backing up the truck.

POSITION SIZE: 2-4% of portfolio — this is volatile enough that you don't want it as a core holding, but the multi-year defense space spending story is real.

ENTRY POINTS: Scale in — one third here around \$112, one third if it retests \$105-108, one third reserved for a break below the 52-week low that reverses.

TIME HORIZON: 12-24 months. The catalyst I'm waiting for is Golden Dome contract awards (expected late 2026/early 2027) and Starship reaching operational cadence.

WHEN TO BAIL: Sustained close below \$100 on high volume, or if the defense authorization gets stripped of space funding in reconciliation.

HEDGING: Pair a small SPCX position with a broad defense ETF (ITA) — that way if pure-space names get whacked but defense keeps running, you're not fully exposed to space-specific pain.